

ASTONEA LABS LIMITED
(Formerly known as Astonea Labs Private Limited)

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**Terms and Conditions of Appointment of
Independent Directors**

The terms and Conditions of the appointment, which shall, in any event be subject to the provisions of the Companies Act, 2013, SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 ('Listing Regulations') and the Articles of Association of the Company, are set out below.

The broad terms and conditions of their appointment as Independent Directors are reproduced hereunder:

1. APPOINTMENT

In accordance with the provisions of the Companies Act, 2013 ("Act") and other applicable laws, appointment as an Independent Director will be for the period mentioned against their respective names ("Term"). The Company may remove Independent Directors prior to completion of the Term subject to compliance of relevant provisions of the Companies Act 2013 and Articles of Association of the Company.

In compliance with provisions of Section 149(13) of the Companies Act, 2013, Independent Directors are not liable to retire by rotation.

The directors may be requested to be a member / Chairman of any one or more Committees of the Board which may be constituted from time to time.

Re-appointment at the end of the Term shall be based on the recommendation of the Nomination and Remuneration Committee and subject to the approval of the Board and the shareholders. The re- appointment would be considered by the Board based on the outcome of the performance evaluation process and the directors continuing to meet the independence criteria.

2. ROLE, DUTIES AND RESPONSIBILITIES

- A. As a member of the Board they along with the other Directors will be collectively responsible for meeting the objectives of the Board which include:
 - Requirements under the Companies Act, 2013,
 - Responsibilities of the Board as outlined in the Listing Regulations,
 - Accountability under the Directors' Responsibility Statement.
- B. To abide by the 'Code For Independent Directors' as outlined in Schedule IV to Section 149(8) of the Act, and the duties of directors as provided in the Act (including Section 166) and in Regulation 4(2)(f) of the Listing Regulations.
- C. To provide guidance in their area of expertise.

3. PROFESSIONAL CONDUCT FOR INDEPENDENT DIRECTORS

As an Independent Director, they shall:

- i. uphold ethical standards of integrity and probity;
- ii. act objectively and constructively while exercising duties;
- iii. exercise responsibilities in a bonafide manner in the interest of the Company;
- iv. devote sufficient time and attention to professional obligations for informed and balanced decision-making;

- v. not allow any extraneous considerations that may vitiate exercise of objective independent judgement in the paramount interest of the Company as a whole, while concurring in or dissenting from the collective judgement of the Board in its decision-making;
- vi. not abuse position to the detriment of the Company or its shareholders or for the purpose of gaining direct or indirect personal advantage or advantage for any associated person;
- vii. refrain from any action that could lead to a loss of independence;
- viii. ensure that if circumstances arise under which they may lose their independence, they will immediately inform the Board accordingly;
- ix. assist the Company in implementing the best corporate governance practices.

4. ROLE AND FUNCTION OF INDEPENDENT DIRECTORS

As an Independent Director they shall:

- i. help in bringing an independent judgment to bear on the Board's deliberations especially on issues of strategy, performance, risk management, resources, key appointments and standards of conduct;
- ii. bring an objective view in the evaluation of the performance of the Board and the Management;
- iii. scrutinize the performance of Management in meeting agreed goals and objectives and monitor the reporting of performance;
- iv. satisfy themselves on the integrity of financial information and that financial controls and the systems of risk management are robust and defensible;
- v. safeguard the interests of all stakeholders, particularly the minority shareholders;
- vi. balance the conflicting interest of the stakeholders;
- vii. determine appropriate levels of remuneration of executive directors, key managerial personnel and senior management and have a prime role in appointing and where necessary recommend removal of executive directors, key managerial personnel and senior management;
- viii. moderate and arbitrate in the interest of the Company as a whole, in situations of conflict between Management and shareholder's interest.

5. DUTIES

As an Independent Director, they shall:

- i. undertake the appropriate induction into the Board and regularly update and refresh their skills, knowledge and familiarity with the Company;
- ii. seek appropriate clarifications and where necessary, seek and follow appropriate professional advice from external experts at the expense of the Company;
- iii. strive to attend every meeting of the Board and of the Board committees of which they are a member;
- iv. actively and constructively participate in the Board and Committees of the Board in which they may be a member or the Chairperson;
- v. strive to attend the general meetings of the Company;
- vi. ensure that any concerns that may have about the running of the Company are addressed by the Board and seek inclusion of these concerns in the Board minutes to the extent these concerns are not resolved;
- vii. keep themselves well informed about the Company and the external environment in which it operates;
- viii. not unfairly obstruct the functioning of an otherwise proper Board or committee;
- ix. ensure that related party transactions are considered carefully before they are approved and are in the interest of the Company;
- x. ensure that the whistle blower function of the Company is functioning adequately;

- xi. report concerns about unethical behaviour, actual or suspected fraud or violation of the Company's Code of Conduct and Ethics;
- xii. within their authority, assist in protecting the legitimate interests of the Company, shareholders and its employees;
- xiii. not disclose any confidential information unless such disclosure is expressly approved by the Board or required by law.

6. TIME COMMITMENT

Considering the nature of the role of a director, it is difficult for the Company to lay down specific parameters on time commitment. Independent Directors agree to devote such time as is prudent and necessary for the proper performance of their role, duties and responsibilities as an Independent Director.

7. DIRECTORS' FEES

Independent Directors will not be employees of the Company and their appointment letter shall not constitute a contract of employment. They will be paid such remuneration by way of sitting fees for meetings of the Board and its Committees as may be decided by the Board.

In addition to the sitting fees, commission that may be determined by the Board may also be payable to them. In determining the amount of this commission, the Board, supported by the Nomination and Remuneration Committee, may consider various factors. Indicative lists of the factors that may be considered are as follows:

- Attendance at Board meetings,
- Attendance at Board Committee meetings,
- Chairmanship of the Board,
- Chairmanship of Board Committees,
- Contribution at Board and Committee meetings,
- Guidance and support provided to senior management of the Company outside of Board Meetings.
- Industry practices,
- Performance evaluation, and
- Performance of the Company.

The Company shall reimburse all traveling, hotel and other incidental expenses properly and reasonably incurred by Independent Directors in performance of duties as per provisions of the Companies Act in conjunction with the Company rules and policies. This could include reimbursement of expenditure incurred by them for attending Board/ Committee meetings, Annual General Meetings, Extraordinary General Meetings, court convened meetings, meetings with shareholders/ creditors/ management, site visits and induction (organized by the Company for Directors) and in obtaining, subject to prior consultation with the Board, professional advice from independent advisors in the furtherance of their duties as an Independent Director.

Independent Directors shall not be entitled to any stock option and shall not be covered by any pension scheme.

10. INDEMNITY AND INSURANCE/ PROVISION FOR DIRECTORS AND OFFICERS (D & O) INSURANCE

The Company may obtain a Directors' & Officers' liability Insurance Policy for Independent Directors. Details of the same will be provided as and when such policy is taken by the Company.

11. CODE OF CONDUCT

They will be expected to perform duties, whether statutory, fiduciary or common law, faithfully, efficiently and diligently to a standard commensurate with both the functions of their role and their knowledge, skills and experience. They will have all the usual duties of an independent director under Companies Act and applicable listing agreement of the Stock Exchanges, where shares of the Company are listed, together with such additional duties as may be agreed with the Board and which may relate to the business of the Company or any other member of the Group. They will be required to serve on such committees and/ or Sub-committee of Directors as the Board may request. In addition, they will be expected to devote appropriate preparation and travel time ahead of each meeting. As a Director of the Company, they will have legal duties and obligations under Companies Act. It is expected that they will familiarize themselves with the relevant Directors' Duties, roles and responsibilities.

We would also like to draw their attention to the applicability of both, Securities and Exchange Board of India (Prohibition of Insider Trading) Regulations, 2015 and the Tata Code of Conduct on Prevention of Insider Trading, prohibiting communication or use of unpublished price sensitive information. Being a Director of the Company, they are classified as a designated person of the Company and hence are prohibited from dealing in the Company's securities during the period when the trading window is closed.

The trading window shall be closed for the following purposes:

- 1) Declaration of financial results;
- 2) Declaration of dividend(s);
- 3) Change in capital structure;
- 4) Mergers, de-mergers, acquisitions, delistings, disposals and expansions of business and such other transactions;
- 5) Changes in Key Managerial Personnel; and
- 6) Material events in accordance with the Listing Regulations.

The time for commencement of closure of trading window shall be decided by the Company. The trading window shall be opened 48 hours after the information referred to above becomes generally available.

12. TRAINING AND DEVELOPMENT

The Company may, if required, conduct formal training program for its Independent Directors. The Company may, as may be required, support Directors to continually update their skills and knowledge and improve their familiarity with the company and its business. The Company will fund/arrange for training on all matters which are common to the whole Board.

13. PERFORMANCE APPRAISAL / EVALUATION PROCESS

As members of the Board, their performance as well as the performance of the entire Board and its Committees will be evaluated annually. Evaluation of each director shall be done by all the other directors. The evaluation process shall remain confidential and shall be a constructive mechanism to improve the effectiveness of the Board / Committee.

14. DISCLOSURES, OTHER DIRECTORSHIPS AND BUSINESS INTERESTS

During their Term, Independent Directors agree to promptly notify the Company of any change in their directorships, and provide such other disclosures and information as may be required under the applicable laws. They also agree that upon becoming aware of any potential conflict of interest with their position as Independent Directors of the Company, they shall promptly disclose the same to the Chairman and the Company Secretary.

During their Term, Independent Directors agree to promptly provide a declaration under Section 149(7) of the Companies Act, 2013 and Listing Regulations, upon any change in circumstances which may affect their status as an Independent Director.

15. MEMBERSHIPS OF OTHER BOARDS

It is expected that they will not serve on the boards of competing companies. Apart from the applicable law and good corporate governance practices, there are no other additional limitations.

16. INDEPENDENT DIRECTORS' DISCUSSION

Annually and when required, the Independent Directors meet without the presence of Non-Independent Directors and members of the Management. At this meeting, the Independent Directors *inter alia* evaluate the performance of the Non-Independent Directors and the Board of Directors as a whole, evaluate the performance of the Chairman of the Board and discuss aspects relating to the quality, quantity and timeliness of the flow of information between the Company, the Management and the Board.

17. CHANGES IN PERSONAL DETAILS

During the Term, Independent Directors shall promptly intimate the Company Secretary and the Registrar of Companies in the prescribed manner, of any change in address or other contact and personal details provided to the Company.

18. TERMINATION

Their directorship on the Board of the Company shall terminate or cease in accordance with law.

Apart from the grounds of termination as specified in the Companies Act, their directorship may be terminated for violation of any provision of the Company's Code of Conduct as applicable to Non-Executive Directors.

They may resign from the directorship of the Company by giving a notice in writing to the Company stating the reasons for resignation. The resignation shall take effect from the date on which the notice is received by the Company or the date, if any, specified by them in the notice, whichever is later.

If at any stage during the Term, there is a change that may affect their status as an Independent Director as envisaged in Section 149(6) of the Companies Act or, if applicable, they fail to meet the criteria for “independence” under the provisions of Clause 49 of the Listing Agreement, they agree to promptly submit their resignation to the Company with effect from the date of such change.

19. CONFIDENTIALITY

All information acquired during appointment is confidential to the Company and shall not be released, either during appointment or following termination (by whatever means) to third parties without prior clearance from the Company unless required by law or by the rules of any stock exchange or regulatory body. On reasonable request, Independent Directors shall surrender any documents and other materials made available to them by the Company.

Attention is also drawn to the requirements under the applicable regulations and the Company’s Insider Trading Code which concern the disclosure of price sensitive information and dealing in the securities of the Company. Consequently, Independent Directors should avoid making any statements or performing any transactions that might risk a breach of these requirements without prior clearance from the Chairman or the Company Secretary.

20. GENERAL

The appointment of Independent Directors and any non-contractual obligations arising out thereof shall be governed by and be construed in accordance with, the laws of India.
